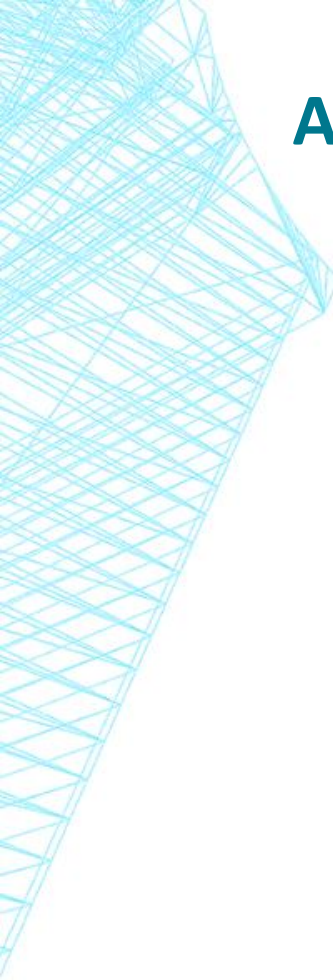


Chapter Three

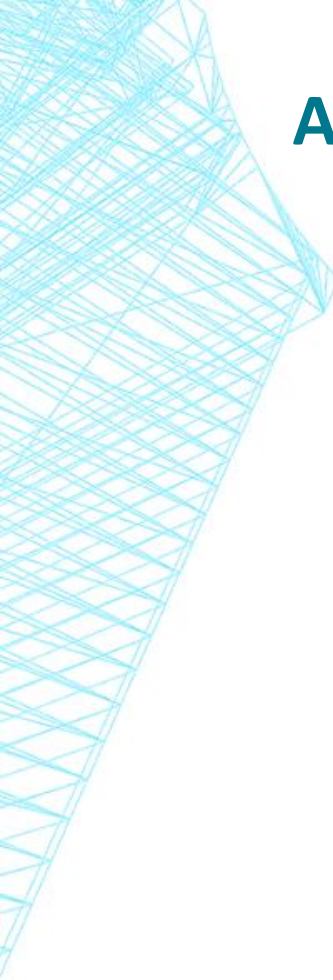
External and Internal Organizational Environments and Corporate Culture





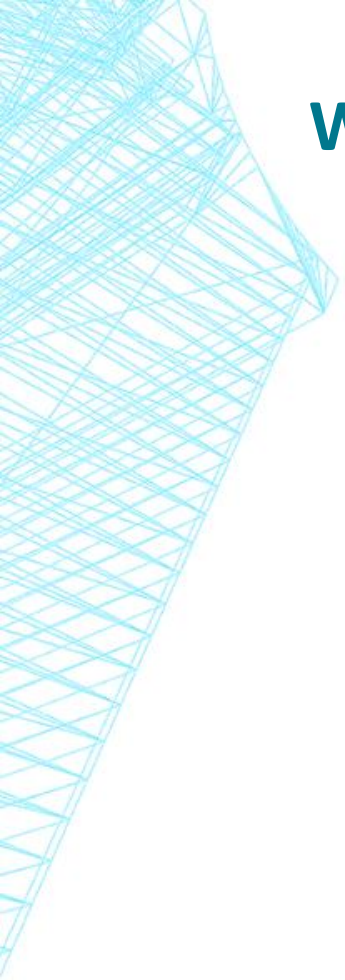
After Finishing This Lecture We Should Know The Following:

- **What is the meaning of organization?**
- **What are the different types of organizations?**
- **What is the meaning of the external environment?**
- **What are the types of general macro environments that affect organizations?**
- **How can organizations divide the external environment based on uncertainty?**
- **How can organizations deal with the high levels of complexity from the external environment?**



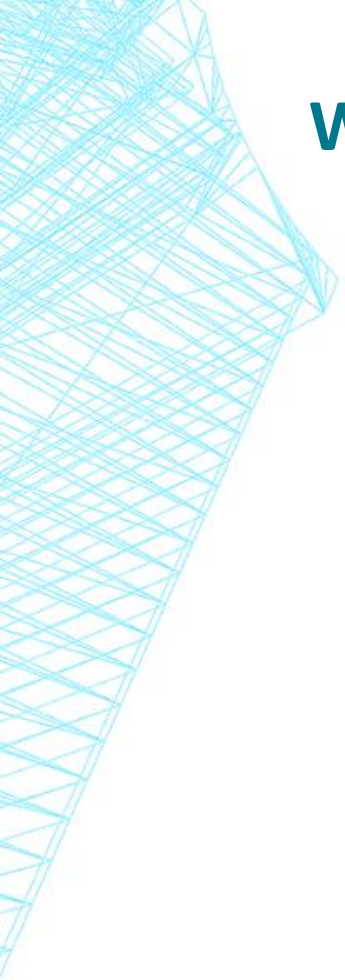
After Finishing This Lecture We Should Know The Following:

- **What are the types of organizational designs and their relations with uncertainty from the external environment?**
- **What are the major types of organizational structures?**
- **What does the internal environment of organizations consist of?**
- **How do you know if your organizational culture fits the external environment?**



What is the meaning of organization?

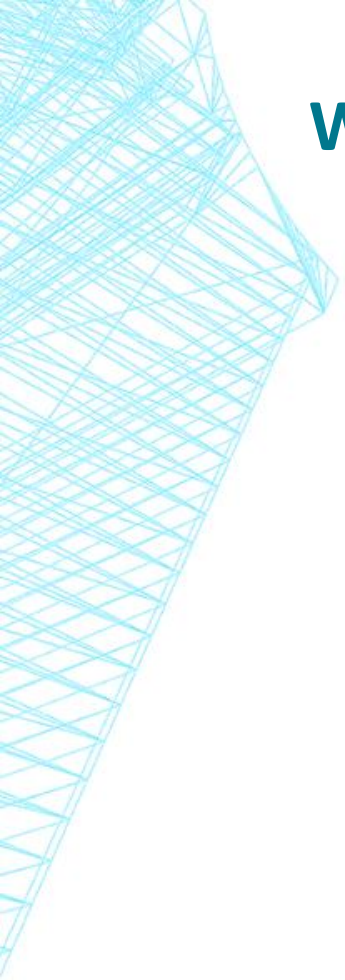
- **Organizations** are groups of people deliberately grouped to serve a purpose through structured and coordinated goals and plans.
- As such, **organizations** operate in different external environments and are organized and structured internally to be able to meet both external and internal demands and opportunities.



What are the different types of organizations?

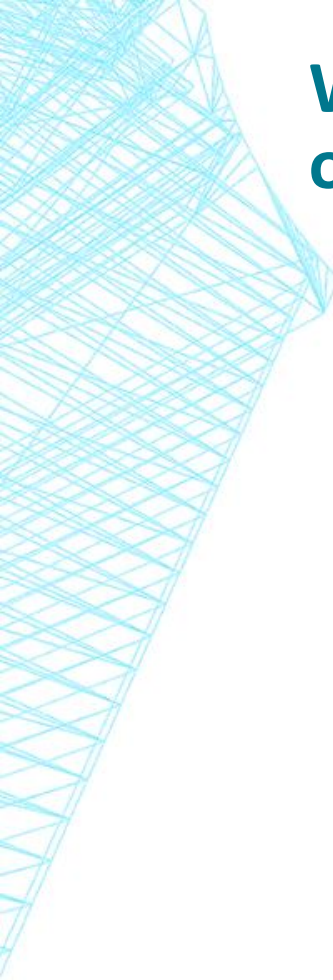
Different types of organizations include:

- Not-for-profit organizations,
- Profit organizations,
- Public organizations,
- Private organizations,
- Government organizations,
- Voluntary organizations,
- Family-owned organizations.



What is the meaning of the external environment?

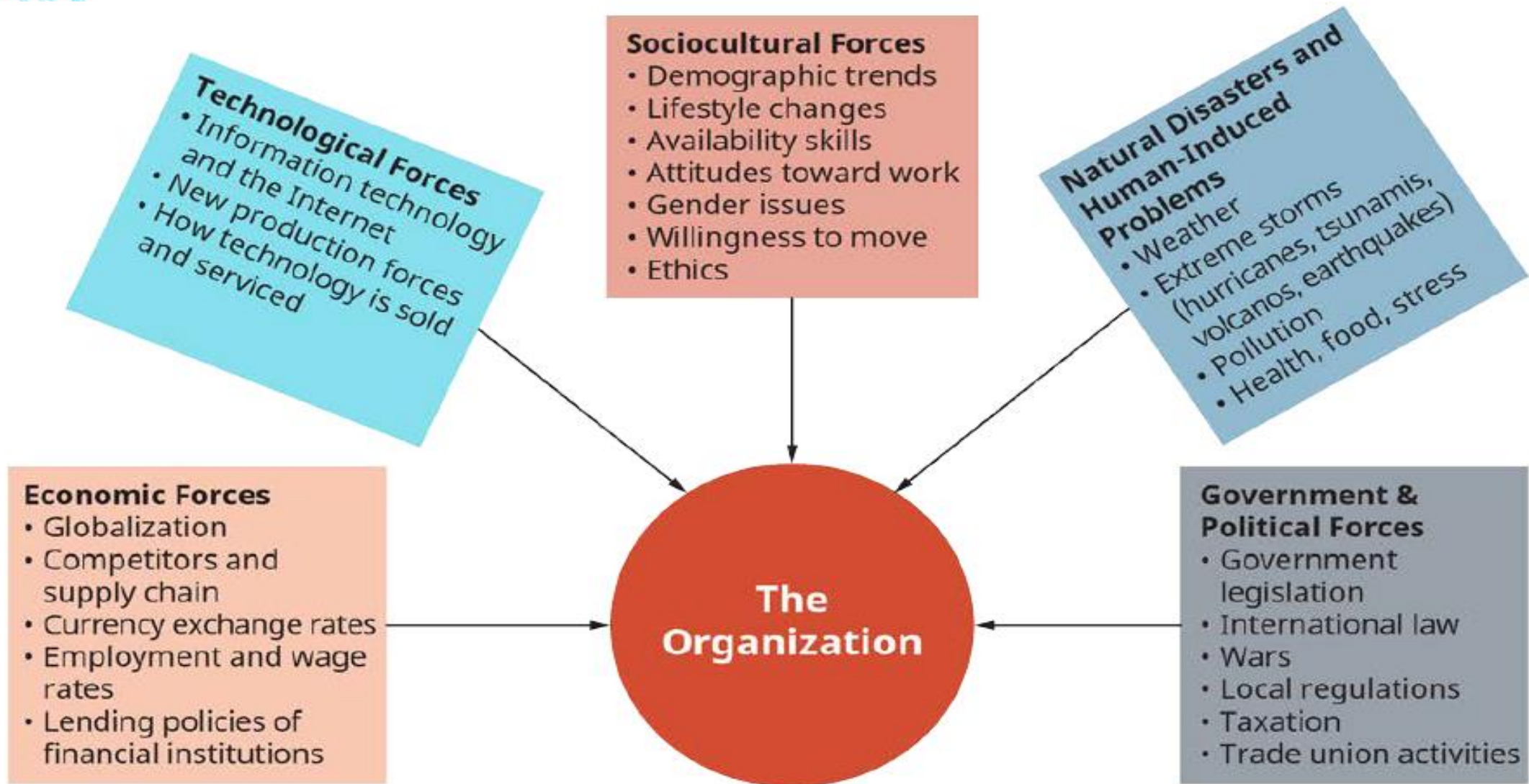
The external environment, also known as the general environment, is an inclusive concept that involves all outside factors and influences that impact a business's operation and to which an organization must respond or react in order to maintain its flow of operations.



What are the types of general macro environments that affect organizations?

- The **general macro environments** that affect organizations can take one of these **forms**:
 - Sociocultural,
 - Technological,
 - Economic,
 - Government and political,
 - Natural disasters, and human-induced problems.
- It is **important** to **consider** these **dimensions** when studying organizations since most or all **changes** that **affect organizations originate from** one or more of these **sources—many** of which are interrelated.

What are the types of general macro environments that affect organizations?



How can organizations divide the external environment based on uncertainty?

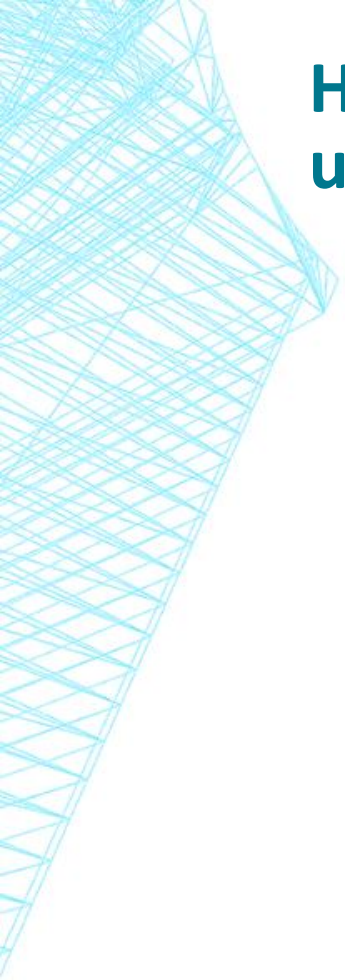
External environments, as identified in the previous section, can be understood by identifying the uncertainty of the environmental forces.

The environment can be classified into four parts based on uncertainty:

1. **Simple-stable environment:** relatively unchanging, simple, and low-uncertainty (i.e., has mostly similar elements). Examples include soft drink bottlers, food processors, and container manufacturers.

2. **Complex-stable environment:** low- to moderate-uncertainty environment.

It is affected by unpredicted conditions, such as global and international confusion, economic downturns, and so on. Examples include universities, appliance manufacturers, chemical companies, and insurance companies.



How can organizations divide the external environment based on uncertainty?

3. **Simple-unstable environment:** The external environment is **simple but high to moderately uncertain**. Examples include e-commerce, music, and the fashion and clothing industries.
4. **Complex-unstable environment:** an environment characterized by a **high degree of uncertainty** with **complex** and **unstable elements**. Examples include firms such as computer, aerospace, airlines, and telecommunications.

How can organizations divide the external environment based on uncertainty?

Simple + Stable = 1

Low Uncertainty

1. Small number of external elements, and elements are similar
2. Elements remain the same or change slowly

Examples: soft drink bottlers, container manufacturers, food processors

Complex + Stable = 2

Low to Moderate Uncertainty

1. Large number of external elements, and elements are dissimilar
2. Elements remain the same or change slowly.

Examples: universities, appliance manufacturers, chemical companies, insurance companies

Uncertainty

Simple + Unstable = 3

High to Moderate Uncertainty

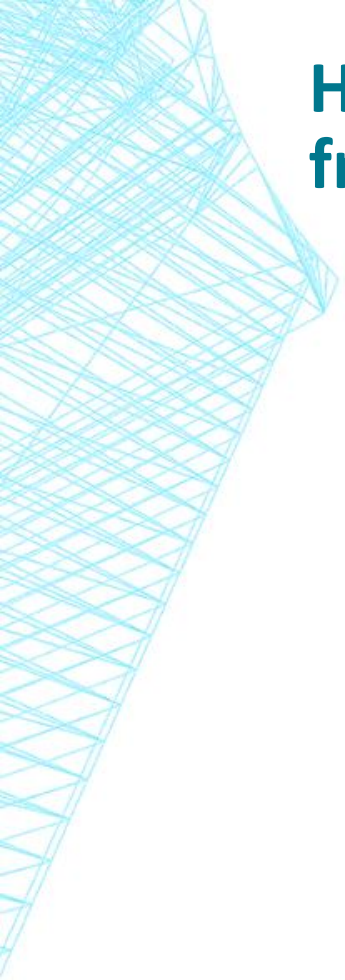
1. Small number of external elements, and elements are similar.
2. Elements change frequently and unpredictably.

Examples: e-commerce, fashion clothing, music industry, toy manufacturers

Complex + Unstable = 4

1. Large number of external elements, and elements are dissimilar
2. Elements change frequently and unpredictably

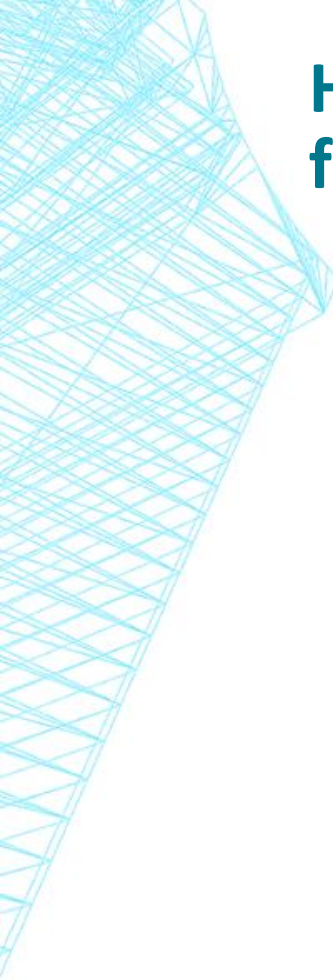
Examples: computer firms, aerospace, telecommunications, airlines



How can organizations deal with the high levels of complexity from the environment?

There are two different aspects of complexities:

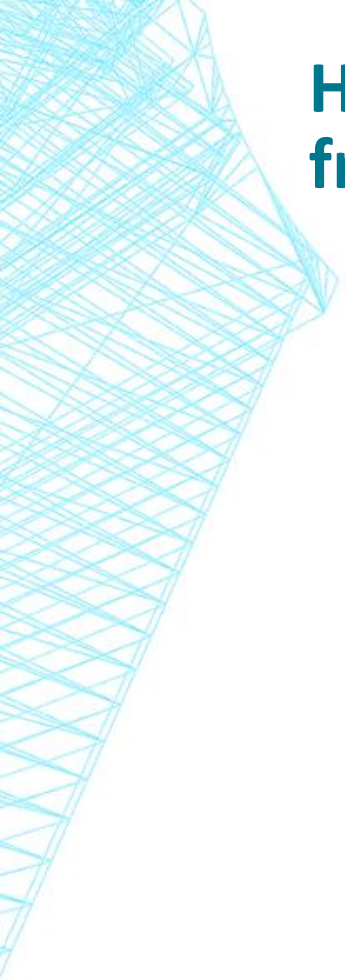
- **External:** The amount of **complexity derived** from the **environment** where the organization operates, such as the **country**, the **markets**, **suppliers**, **customers**, and stakeholders.
- **Internal:** The amount of **complexity** that comes from **inside** the **organization** itself, i.e., **products**, **technologies**, **human resources**, **processes**, and **organizational structure**.



How can organizations deal with the high levels of complexity from the environment?

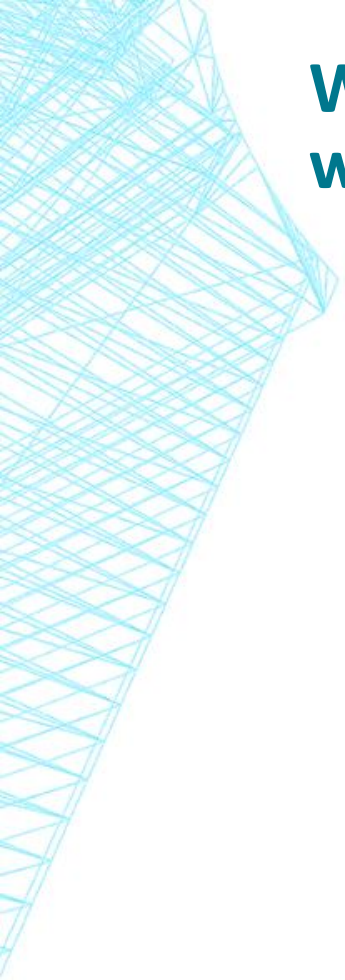
There are some simple rules for managing high levels of complexity from the external environment:

- **Firstly**, it is **important** to **diagnose** the **nature** of the **external complexity**, whether simple-stable, complex-stable, simple-unstable, or complex-unstable.
- **Secondly, assign the team**: “...a set of self-managing teams or autonomous business **units**, [known as modularized units] with an **entrepreneurial responsibility** to the larger organization.” These focused self-organizing teams **use creative methods** to **deal** with **diversity** to the organization's advantage.



How can organizations deal with the high levels of complexity from the environment?

- **Thirdly, find and develop:** putting simple rules to drive out creativity and innovation ... to keep the infrastructure and processes simple while permitting complex outputs and behaviors.
- **Fourthly, building some strategies,** such as creating open networks internal and external to the organization to promote cooperation and integration and apply the creative ideas identified in the previous stages.
- **Finally, Sharing ...values, vision, strategy, organizational processes, and knowledge through** the development of trust and incorporation and promotion of leaders at all levels.



What are the types of organizational designs and their relations with uncertainty from the external environment?

There are two types of organizational designs:

- **Mechanistic organizational design:** A **rigid** and **tightly** controlled **structure**.
- **Organic organizational design:** Highly **flexible** and **adaptable** **structure**.

What are the types of organizational designs and their relations with uncertainty from the external environment?

Mechanistic

Stable, low uncertainty environment

Top-down hierarchy

Narrow span of control

Specialized tasks

Formal rules

Vertical communication

Structured decision-making

Organic

Unstable, high uncertainty environment

Less rigid, horizontal organization

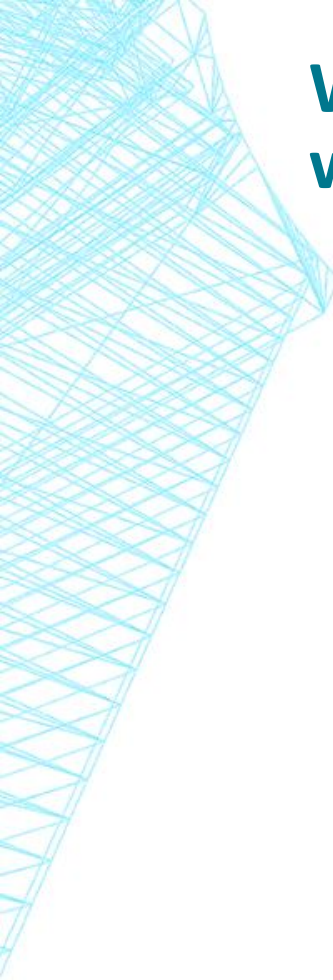
Flexible, few rules

Two-way communication

Participatory decision-making

Generalized shared tasks

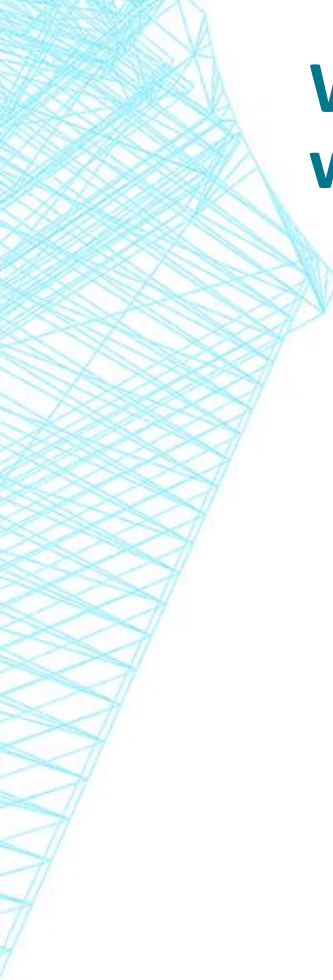
Wide span of control



What are the types of organizational designs and their relations with uncertainty from the external environment?

Mechanistic organizational design:

- Best suited for environments that range from stable and simple to low-moderate uncertainty.
- Characterized by top-down hierarchies of control that are rule-based.
- The chain of command is highly centralized and uses formal authority; tasks are clearly defined and differentiated to be executed by specific specialized experts.
- Bosses and supervisors have fewer people working directly under them (i.e., a narrow span of control),
- The organization is governed by rigid departmentalization (i.e., it is divided into different departments that perform specialized tasks according to each department's expertise).

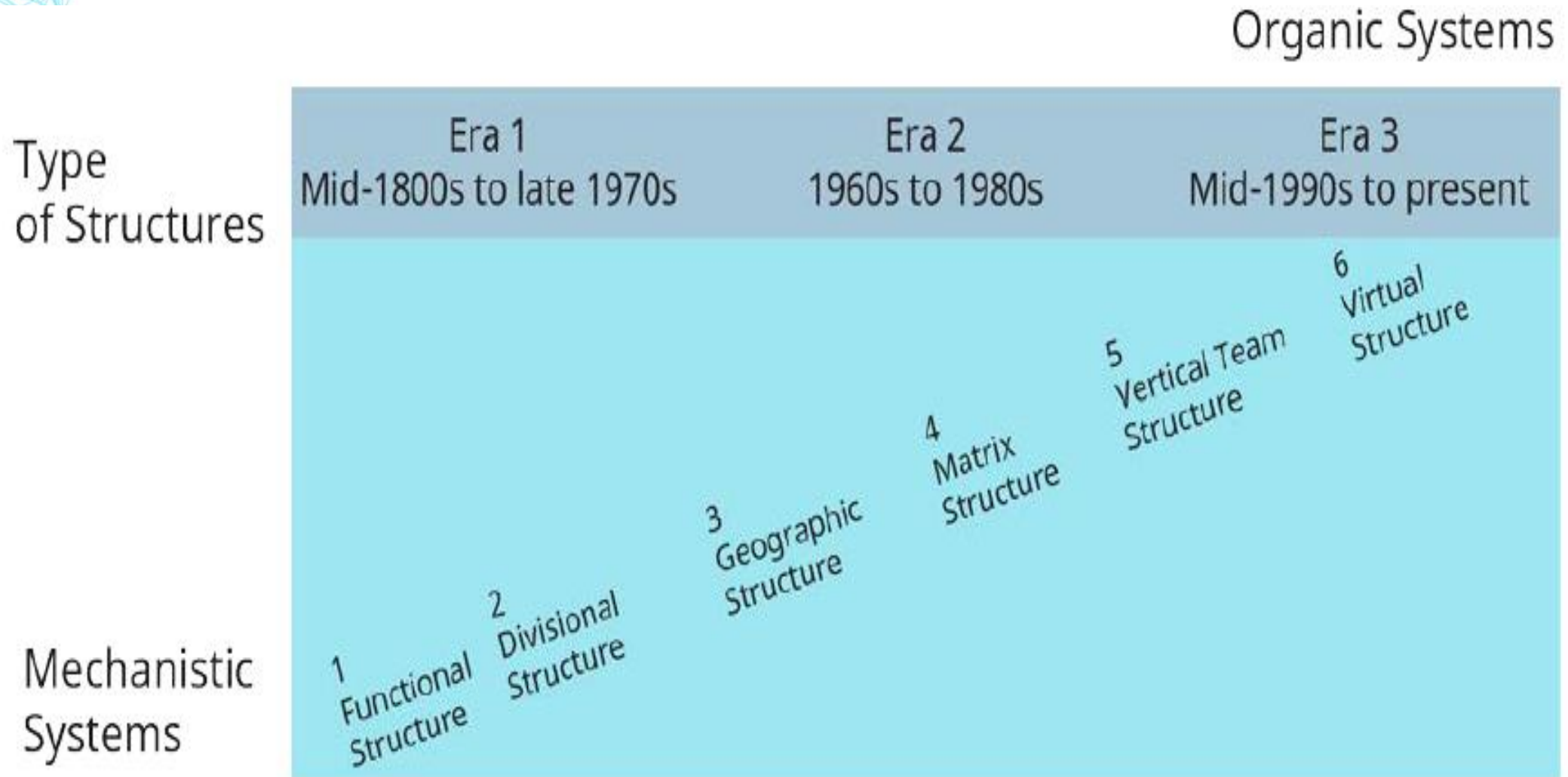


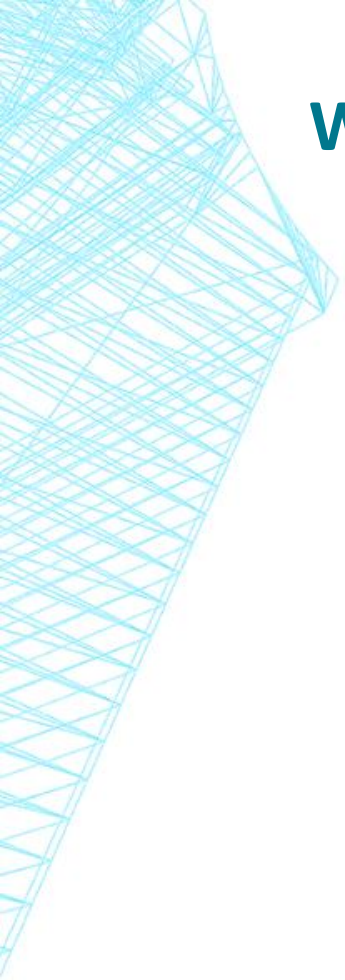
What are the types of organizational designs and their relations with uncertainty from the external environment?

Organic organizational design:

- They have **opposite characteristics** from **mechanistic** ones.
- These organizational forms work **best in unstable, complex, changing environments**.
- Their **structures** are **flatter**, with **participatory communication** and **decision-making** flowing in different directions.
- There is more **fluidity** and **less rigid** ways of performing **tasks**; there may also be **fewer rules**.
- **Tasks** are more **generalized** and **shared**; there is a **wider span of control** (i.e., more people reporting to managers).

What are the major types of organizational structures?

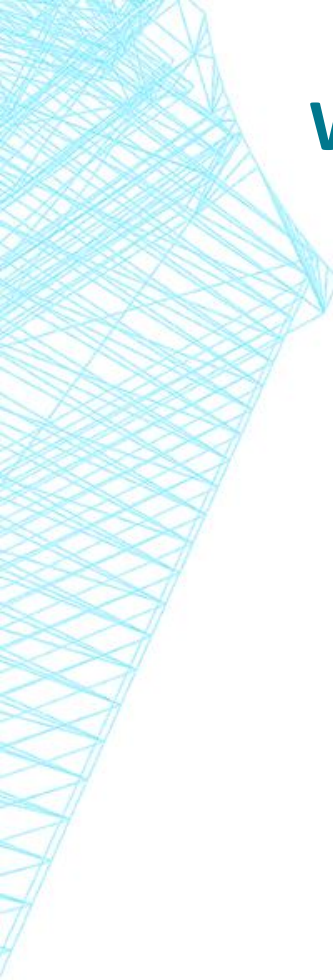




What are the major types of organizational structures?

Functional structure:

- This **structure** is **organized** by **departments** and **expertise areas**, such as R&D (research and development), production, accounting, and human resources.
- Functional organizations are **referred** to as **pyramid structures** since they are **governed** as a **hierarchical, top-down control system**.



What are the major types of organizational structures?

Advantages:

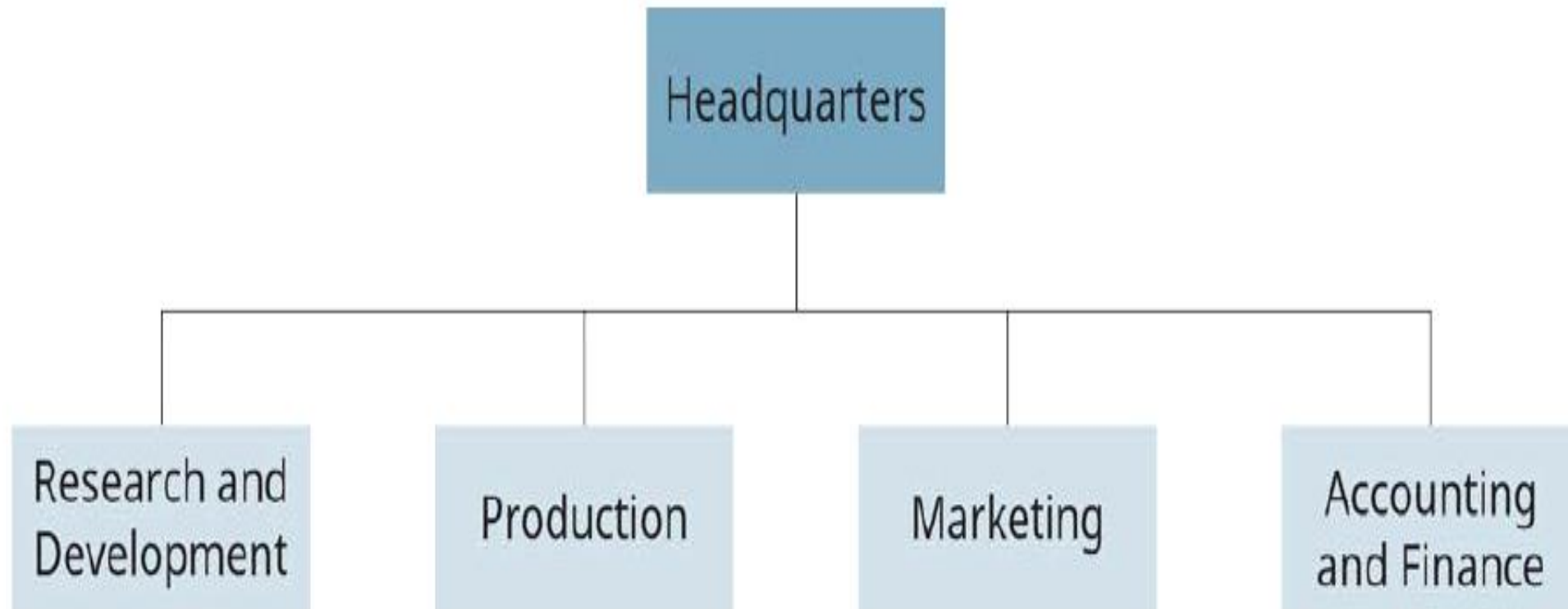
- The functional structure **excels** in **providing** a **high** degree of **specialization** and a **simple** and **straightforward reporting** system within departments.

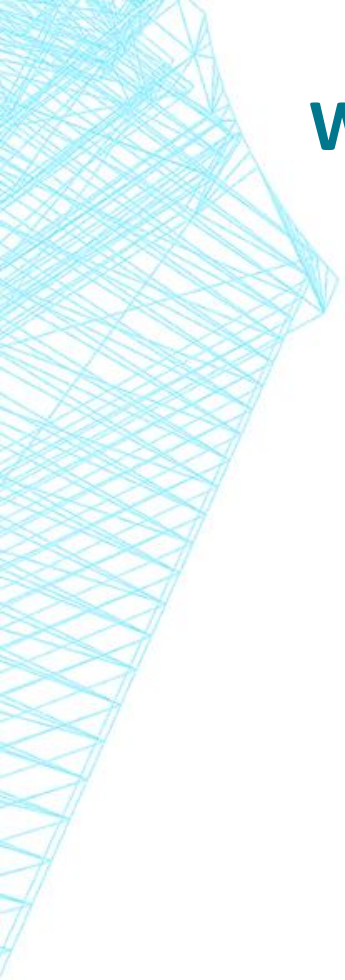
Disadvantages:

- This structure includes the **isolation** of **departments** from each other since they tend to form “**silos**,” which are characterized **by closed mindsets** that are **not open to communicating** across departments.
- **Lack** of **quick decision-making** and **coordination** of tasks across departments.
- There is a **competition** for **power** and **resources**.

What are the major types of organizational structures?

Functional structure





What are the major types of organizational structures?

Divisional structures:

- Divisional structures refer to **dividing organizations** into **departments based** on the **product or service** they produce **under** one **division head**.
- Each **divisional** group has its **own** marketing, sales, accounting, manufacturing, and production team.

What are the major types of organizational structures?

Advantages:

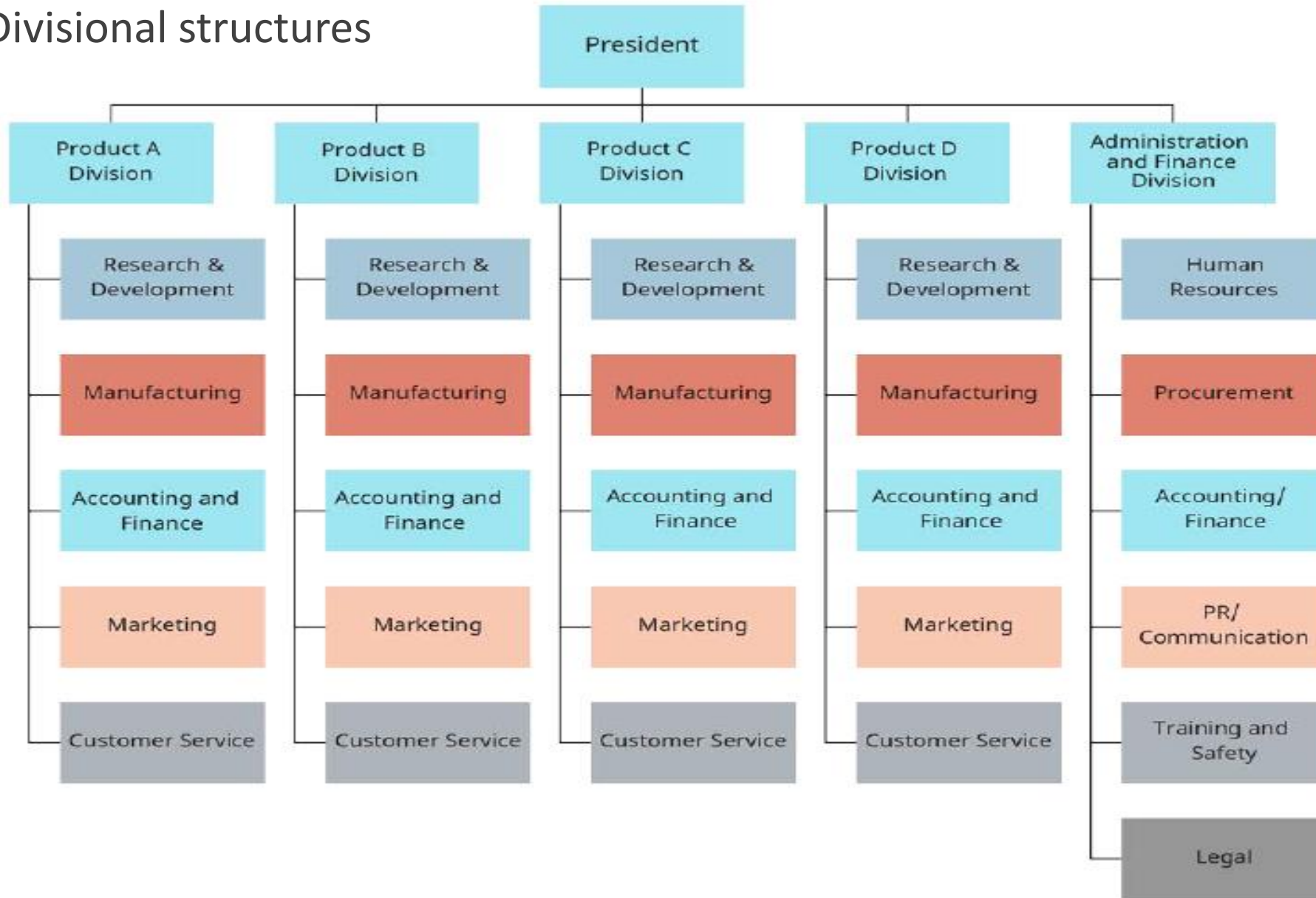
- Each **specialty** area can be **more focused** on the business segment and **budget** that it **manages**.
- **Everyone** can more **easily know** their **responsibilities** and **accountability**.
- **Customer contact** and service can be **quicker**.
- **Coordination** within a **divisional** grouping is **easier**.

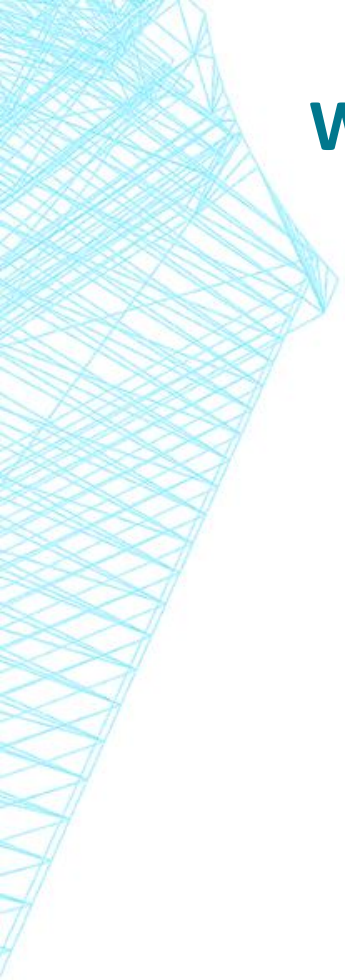
Disadvantages:

- **Divisions** can **easily** become **isolated** and insular from one **another**.
- Different **departments**, such as accounting, finance, sales, and so on, may **suffer** from **poor** and **infrequent communication** and **coordination** of enterprise **mission, direction, and values**.

What are the major types of organizational structures?

Divisional structures

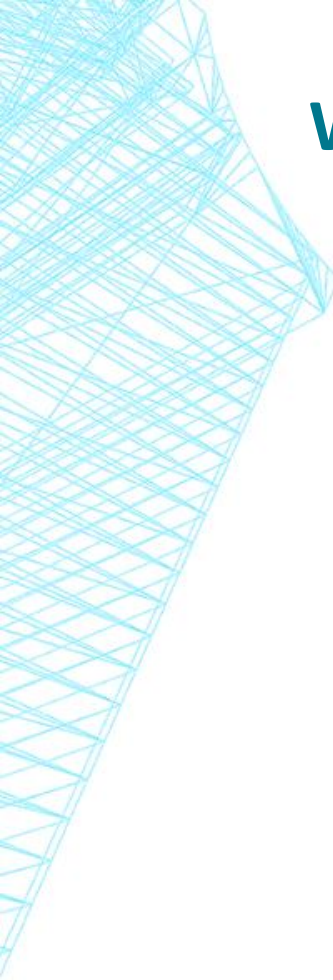




What are the major types of organizational structures?

A geographical structure:

- This **structure** is **organized** by the **locations** of **customers** that a company **serves**.
- Each **department** acts as if it is its **own company**, **combining** different types of **personnel** for **various** business **functions**.



What are the major types of organizational structures?

Advantages:

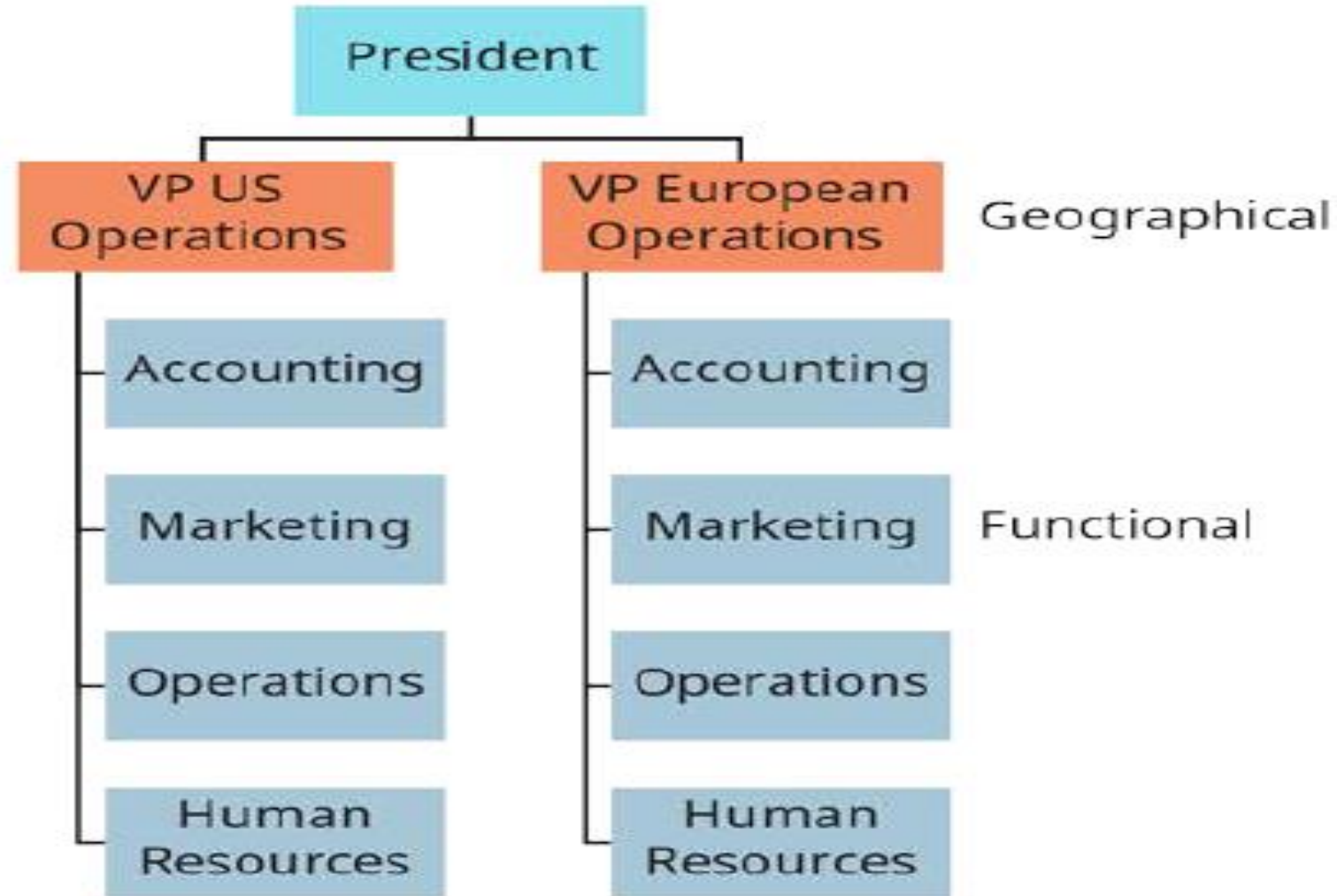
- This enables each geographic unit to understand, research, and design products and/or services based on customer needs, tastes, and cultural differences.

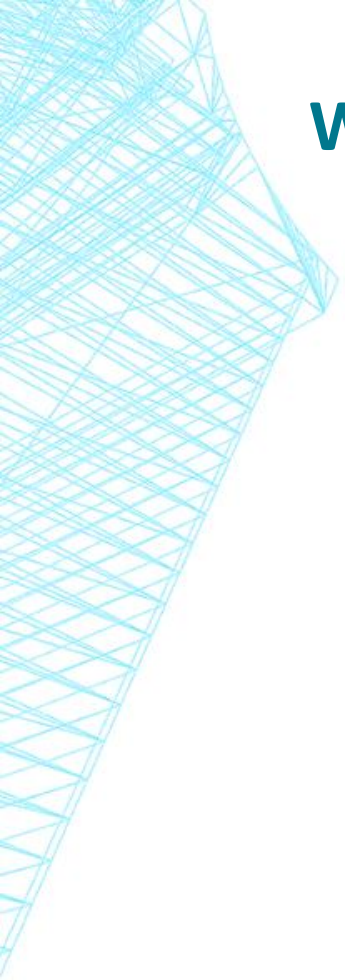
Disadvantages:

- Headquarters must ensure effective coordination and control over each autonomous geographically self-contained structure.

What are the major types of organizational structures?

A geographical structure:





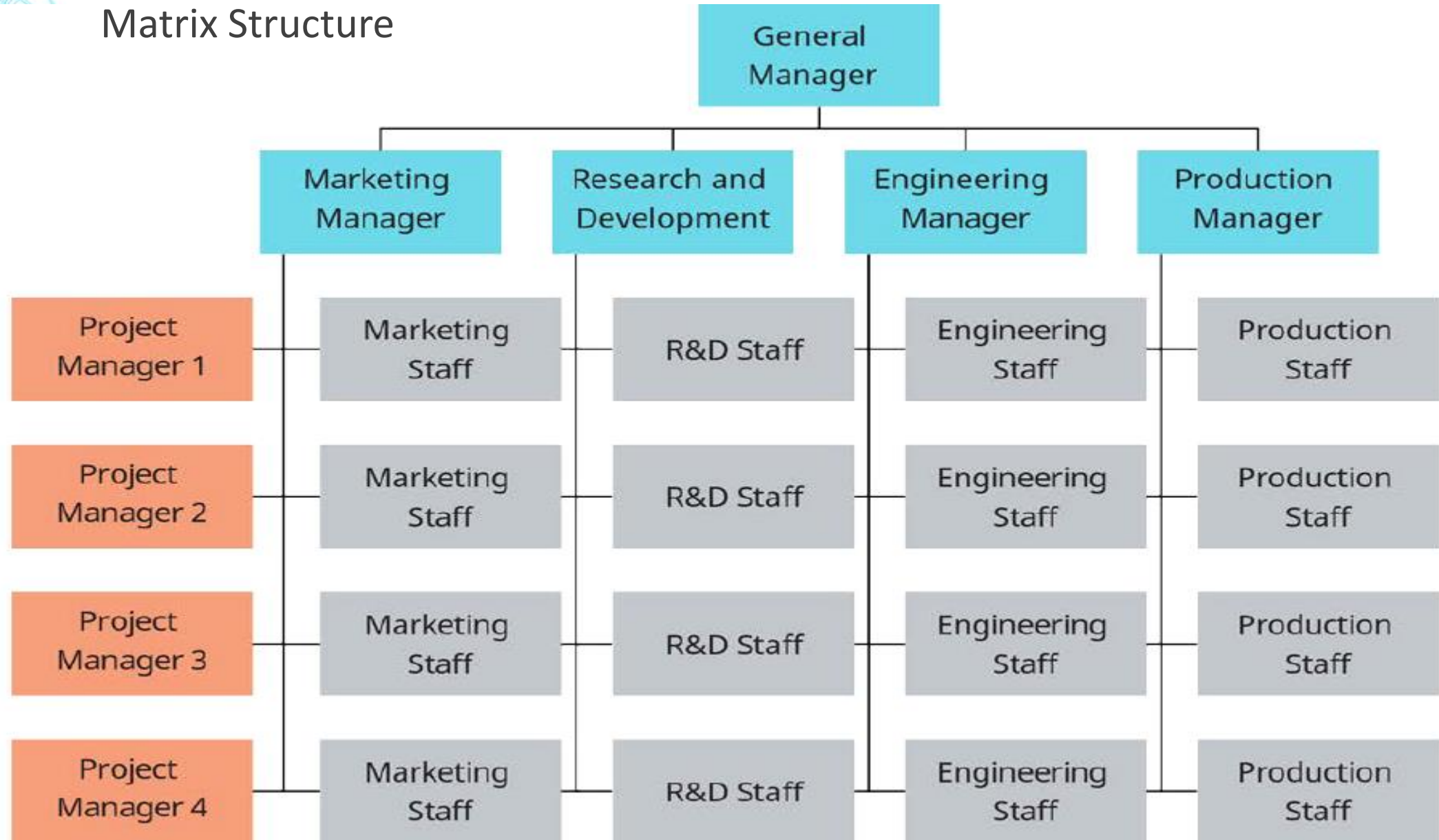
What are the major types of organizational structures?

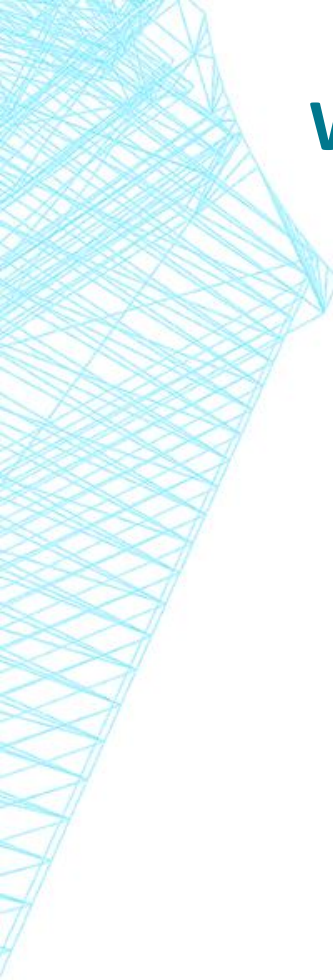
Matrix Structure:

- Matrix designs use teams to combine vertical (functional) and horizontal structures.
- Matrix structures initiated horizontal team-based structures that provided faster information sharing, coordination, and integration between the formal departments and profit-oriented projects and programs.

What are the major types of organizational structures?

Matrix Structure





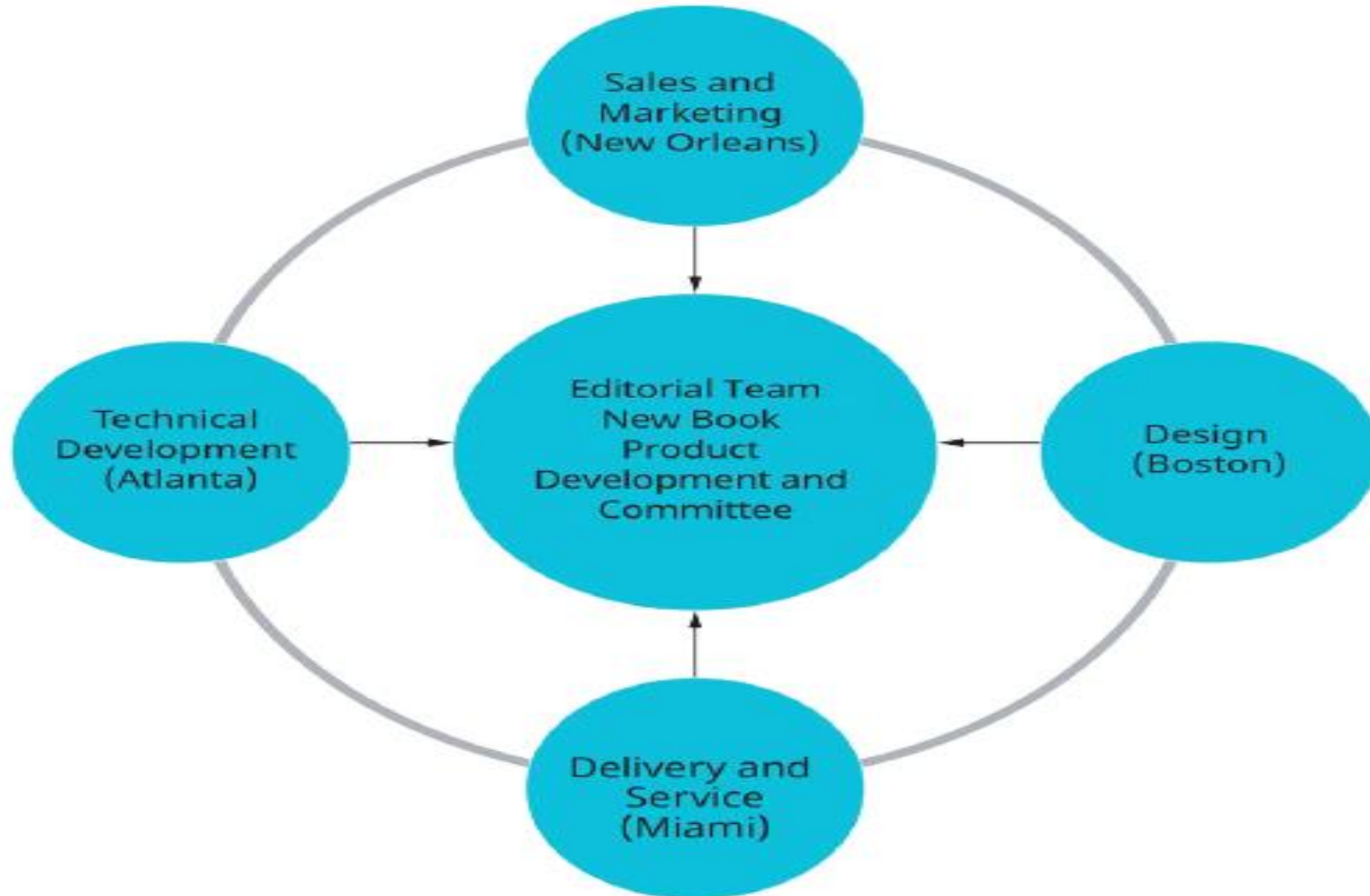
What are the major types of organizational structures?

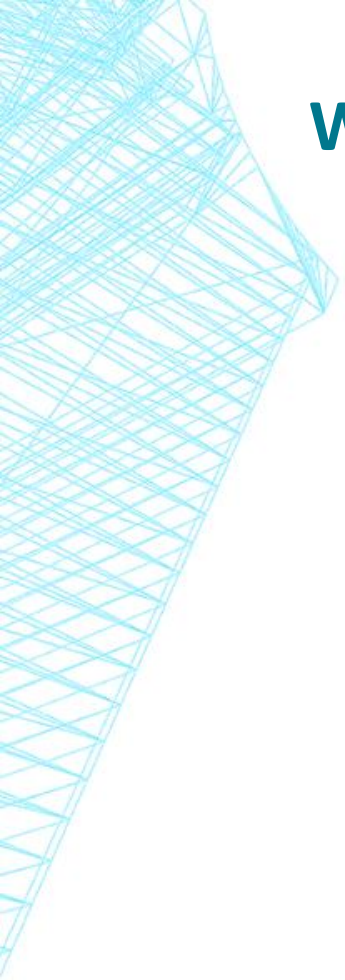
Virtual structures:

- Virtual structures are **related** to so-called **modular and digital organizations** and are **dependent** on information communication technologies (ICTs).
- These **organizations** move beyond **network team structures** in that the **headquarters** or home base may be the only part of a **stable organizational base**.
- This is a “**boundary less organization**.”
- Uber, Airbnb, Amazon, Reebok, Nike, Puma, and Dell are examples of organizations that use virtual teams.

What are the major types of organizational structures?

Virtual structures

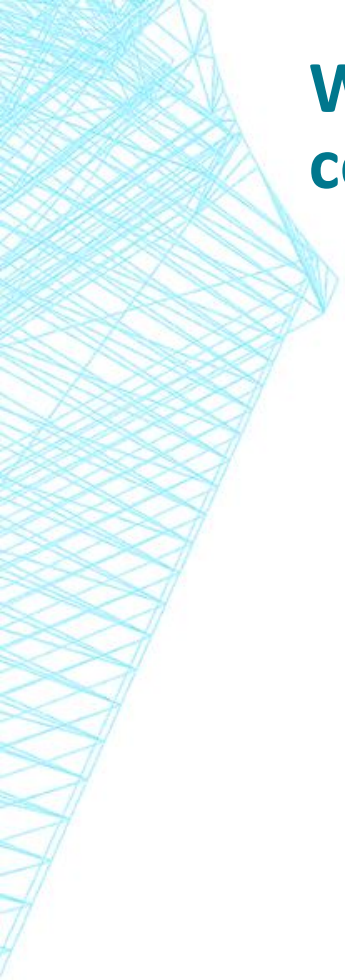




What does the internal environment of organizations consist of?

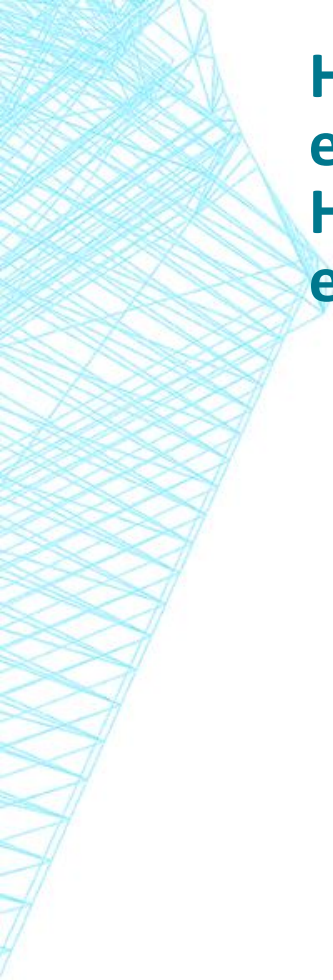
The internal environment consists of:

- **Formal subsystem:** leadership, strategy, management, goals, marketing, operations, technology, structure.
- **Informal subsystem:** culture, norms, relationships, politics.



What is the importance of understanding and building a good corporate culture?

- **First**, culture **helps** an **organization adapt** to and **integrate** with its **external environment** by **adopting** the **right values** to **respond** to **external threats and opportunities**.
- **Secondly**, culture **creates internal unity** by **bringing members** together so they can work **more cohesively** to **achieve** common **goals**.



How do you know if your organizational culture fits the external environment?

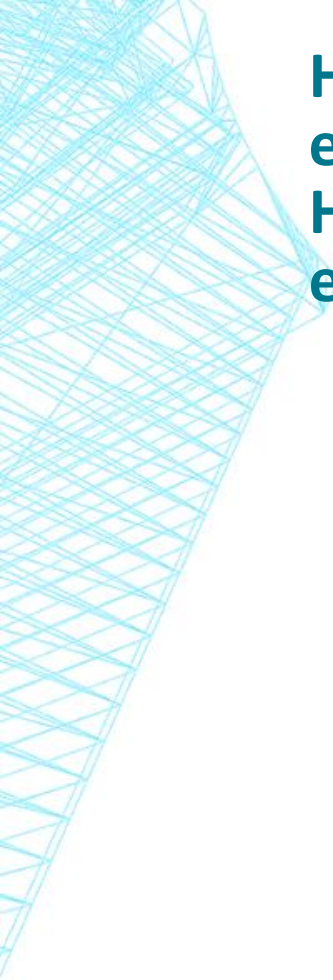
How do we make a fit between organizational cultures and the external environment?

- We can use the **Competing Values Framework (CVF)** to identify organizational **cultures** that **match** the **particular characteristics** of **external** environments.
- The framework's **first two axes**, **external focus Vs. internal focus**, **indicate** whether the **organization's culture** is **externally** or **internally** oriented.
- The other **two axes**, **flexibility Vs. stability and control**, **determine** whether a **culture functions** better in a **stable, controlled** environment or a **flexible, fast-paced** environment.

How do you know if your organizational culture fits the external environment?

How do we make a fit between organizational cultures and the external environment?



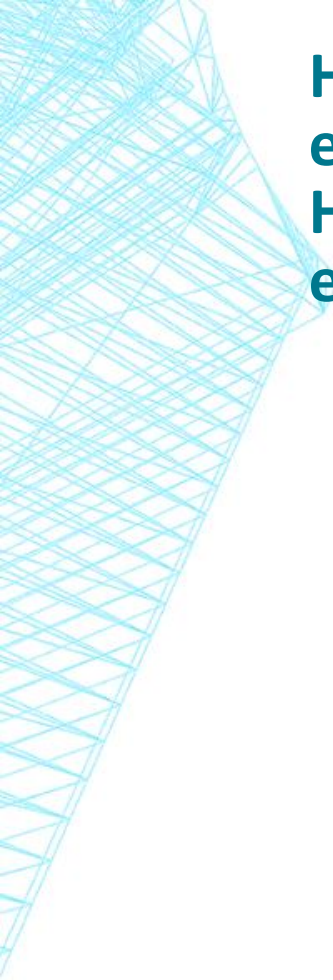


How do you know if your organizational culture fits the external environment?

How do we make a fit between organizational cultures and the external environment?

Combining the axes offers four cultural types:

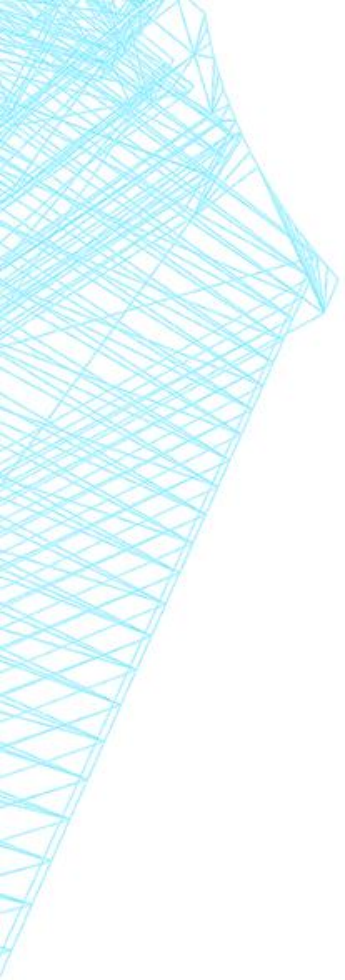
- **The Adhocracy Culture (flexibility & external)** emphasizes creating, innovating, envisioning the future, managing change, risk-taking, rule breaking, experimentation, entrepreneurship, and uncertainty.
- **The Clan Culture (flexibility & internal)** focuses on relationships, team building, commitment, empowering human development, engagement, mentoring, and coaching.



How do you know if your organizational culture fits the external environment?

How do we make a fit between organizational cultures and the external environment?

- **The Hierarchy Culture (stability & internal)** emphasizes efficiency, process and cost control, organizational improvement, technical expertise, precision, problem-solving, error elimination, logic, caution, conservativeness, management and operational analysis, and careful decision-making.
- **The Market Culture (stability & external)** focuses on delivering value, competing, delivering shareholder value, achieving goals, driving and delivering results, making speedy decisions, hard-driving through barriers, being directive, commanding, and getting things done.



THANKS